UPSC EPFO · APFC RECRUITMENT TEST · FOUNDATION LAYER · MODULE 6 · CHAPTER F6.3

Final Accounts, Adjustments, Provisions and Reserves

Chapter F6.3 — Turning a Trial Balance into a Profit Figure and a Balance Sheet, and the Two Words the Examiner Keeps Swapping

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NOTE · HOW TO USE THIS DOCUMENT

This is where F6.1 and F6.2 pay off. F6.1 ended with a trial balance. F6.2 explained the **matching** concept and the **prudence** convention. This chapter is those two ideas turned into actual entries.

If you have done F6.1 and F6.2, start at Section 1. If you are short of time, **Sections 5 and 6 are the whole chapter** — the year-end adjustments and the provision-versus-reserve distinction. Sections 2 to 4 are format, which you can absorb from the tables alone.

HIGH YIELD · WHERE THIS CHAPTER SITS

Blueprint §7.1 names **provisions** in the high-yield list for this examination (ANALYTICAL ESTIMATE). Section 6 covers that, and adds the two trap pairs that go with it: **provision versus reserve** and **capital reserve versus reserve capital**.

Section 5 earns its place differently. Year-end adjustments are the natural home of the paper's **numerical questions** — about 15% of the paper is numerical or applied (PYQ-DERIVED, Blueprint §6) — because each adjustment changes a profit figure by a computable amount.

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0. How This Chapter Works

STUDY SESSION · CHAPTER F6.3 — THE SIX SESSIONS

1. **Session 1** — From trial balance to final accounts; the three statements (§1) ★★★★★
2. **Session 2** — Trading Account and gross profit (§2) ★★★★★
3. **Session 3** — Profit and Loss Account and net profit (§3) ★★★★★
4. **Session 4** — Balance Sheet, marshalling, and the asset classes (§4) ★★★★★
5. **Session 5** — The year-end adjustments (§5) ★★★★★ **highest yield**
6. **Session 6** — Provisions, reserves and contingent liabilities (§6) ★★★★★

Then 30 graded questions in §7. Seven sessions, so about **three and a half days** at two hours.

1. Session 1 — From Trial Balance to Final Accounts ★★★★★

1.1 What the trial balance still cannot tell you

F6.1 §6 left you with an agreed trial balance — a list of ledger balances proving arithmetical accuracy. It answers neither of the two questions the owner actually asked in F6.1 §1: *did I make a profit*, and *what do I own and owe*.

To answer them the balances must be **sorted into two destinations**:

- Balances of **nominal** accounts — expenses, losses, incomes, gains — go to the **Trading and

Profit & Loss Account**, and produce the profit figure

- Balances of **real** and **personal** accounts — assets, liabilities, capital — go to the **Balance

Sheet**, and produce the position

That is the whole of final accounts. Every nominal balance is consumed by the profit calculation; every real and personal balance survives into the balance sheet.

MEMORY TECHNIQUE · THE SORTING RULE, USING F6.1'S CLASSIFICATION

The three-fold classification from F6.1 §4.2 is not academic — it is the sorting instruction:

F6.1 class	Destination
Nominal (expenses, losses, incomes, gains)	Trading / P&L Account
Real (assets)	Balance Sheet, assets side
Personal (capital, drawings, debtors, creditors)	Balance Sheet

If you can classify an account, you know where it goes. That is why F6.1 §4.2 came before this chapter.

1.2 The three statements

Statement	Question it answers	Nature
Trading Account	What was the **gross profit** on buying and selling?	An account
Profit & Loss Account	What was the **net profit** after all other costs?	An account
Balance Sheet	What is the **financial position** on a given date?	A **statement**, not an account

For a company, "financial statements" under the Companies Act, 2013 is wider: a balance sheet, a profit and loss account, a **cash flow statement**, a statement of changes in equity, and notes. The prescribed format is in **Schedule III**.

CHECK YOURSELF · SESSION 1

1. Which class of accounts goes to the P&L, and which to the balance sheet?
2. Name the three final accounts and the question each answers
3. Which of the three is not an account?
4. Which Schedule of the Companies Act, 2013 prescribes the format of financial statements?

2. Session 2 — Trading Account and Gross Profit ★★★★☆

2.1 What it is for

The Trading Account isolates the result of the **core buying-and-selling activity**, before any office, selling or financing costs. Its result is **gross profit**.

Gross Profit = Net Sales - Cost of Goods Sold

and

Cost of Goods Sold = Opening Stock + Net Purchases + Direct Expenses - Closing Stock

where *net* means after deducting returns: net sales = sales - sales returns; net purchases = purchases - purchase returns.

2.2 The format

Debit side	Credit side
Opening Stock	Sales **less** Sales Returns
Purchases **less** Purchase Returns	**Closing Stock**
Direct expenses	Gross Loss (if any), carried to P&L
Gross Profit, carried to P&L	

Gross profit is the balancing figure carried to the Profit & Loss Account

2.3 Direct expenses — the list that decides the question

A **direct expense** is one incurred to bring goods to a saleable condition and location. Only these belong in the Trading Account:

- **Wages** (factory labour)
- **Carriage inwards**, freight inwards, cartage on purchases
- **Fuel, power, gas, water** used in manufacture
- **Factory rent, rates, lighting and insurance**
- **Octroi, import duty, customs duty, clearing charges**
- **Royalty based on production**
- Manufacturing and packing expenses (packing to make goods saleable)

MUST MASTER · THE FOUR PAIRS THAT DECIDE TRADING VERSUS P&L

Just as F6.2 §5.4 was built from one-word pairs, so is this. Each pair differs by direction or by a single word:

Trading Account (direct)	Profit & Loss Account (indirect)
Carriage **inwards**	Carriage **outwards**
Wages	**Salaries**
Factory rent, lighting, insurance	**Office** rent, lighting, insurance
Royalty on **production**	Royalty on **sales**

And the Indian textbook convention that produces a genuinely nasty question: for a combined head, the **first word decides**. "**Wages** and Salaries" goes to the Trading Account; "**Salaries** and Wages" goes to the Profit & Loss Account. If a question offers both forms, it is testing exactly this.

CHECK YOURSELF · SESSION 2

1. Give the formula for gross profit and for cost of goods sold
2. Name six direct expenses
3. Carriage inwards versus carriage outwards — which account, and why?
4. Where does "Salaries and Wages" go, and why does the order matter?

3. Session 3 — Profit and Loss Account and Net Profit ★★★★★

3.1 What it is for

The P&L takes the gross profit and charges against it every cost of **running** the business as opposed to making the goods. Its result is **net profit**, which belongs to the owner and therefore goes to **capital** in the balance sheet.

Net Profit = Gross Profit + Other Incomes - Indirect Expenses

3.2 The four families of indirect expense

Family	Examples
Office and administrative	Salaries, office rent, printing and stationery, postage, telephone, legal charges, **audit fees**, general expenses
Selling and distribution	Advertisement, **carriage outwards**, packing for despatch, commission to salesmen, travelling, **bad debts**, godown rent, delivery van expenses
Financial	**Interest on loan**, bank charges, **discount allowed**
Provisions and write-offs	**Depreciation**, provision for doubtful debts, provision for discount on debtors

Other incomes credited: rent received, commission received, interest received, **discount received**, dividend received, profit on sale of an asset, bad debts recovered.

COMMON UPSC TRAP · DISCOUNT ALLOWED VERSUS DISCOUNT RECEIVED

Straight from F6.1 §3.1. **Discount allowed** is an expense — debit, P&L debit side. **Discount received** is an income — credit, P&L credit side.

And remember the layer beneath it: only **cash** discount appears at all. Trade discount never gets an account, so an option placing "trade discount" on either side of the P&L is wrong twice over.

CHECK YOURSELF · SESSION 3

1. State the formula for net profit
2. Name the four families of indirect expense with two examples each
3. Where does net profit go in the balance sheet, and why?
4. Discount allowed and discount received — which side of the P&L?

4. Session 4 — Balance Sheet ★★★★☆

4.1 A statement, not an account

The Balance Sheet has no debit and credit side — it has a **liabilities side** and an **assets side**, and it is prepared **as on** a date rather than **for** a period. It is the accounting equation from F6.1 §2 written out in full.

Two words describe how it is arranged, and both are asked:

- **Grouping** — putting items of a similar nature together under one head
- **Marshalling** — arranging assets and liabilities **in a particular order**, either in order of

liquidity (most easily realised first) or in order of **permanence** (most permanent first)

4.2 The asset classes, and the one that is not really an asset

Class	What it means	Examples
Fixed — tangible	Long-term, physical	Land, building, plant, machinery, furniture
Fixed — intangible	Long-term, no physical form, but **real value**	**Goodwill**, patents, trademarks, copyrights
Investments	Funds placed outside the business	Shares, government securities
Current	Convertible to cash within a year	Stock, debtors, bills receivable, cash, bank, **prepaid expenses**
Wasting	Depleted by extraction	Mines, quarries, oil wells
Fictitious	**Not assets at all** — no value, no realisable worth	Preliminary expenses not written off, discount on issue of debentures, **debit balance of P&L**

MUST MASTER · INTANGIBLE IS NOT THE SAME AS FICTITIOUS

This is the classification trap of the section, and it recurs.

- **Goodwill and patents are intangible but REAL.** They have no physical form, but they have value

and could be sold. They are genuine assets

- **Preliminary expenses, discount on issue of debentures and a debit balance of the P&L are

FICTITIOUS.** They have no value and cannot be sold. They sit on the assets side only because they are expenditure not yet written off

So "goodwill is a fictitious asset" is **false**, and it is an option you should expect to see. The test is not whether you can touch it — it is whether it could be **realised**.

Note also the link back to F6.2 §5.3: fictitious assets are exactly the unwritten-off portion of **deferred revenue expenditure**.

4.3 The liabilities side

Class	Examples
Capital	Opening capital **+ net profit - drawings**, adjusted for interest on capital and drawings
Long-term liabilities	Loans, debentures, mortgage
Current liabilities	Creditors, bills payable, **outstanding expenses**, bank overdraft, **income received in advance**
Provisions	Provision for taxation, provision for doubtful debts (usually shown as a deduction from debtors)

CHECK YOURSELF · SESSION 4

1. Why is the balance sheet not an account? What phrase precedes its date?
2. Distinguish grouping from marshalling. Name the two orders of marshalling
3. Distinguish intangible from fictitious assets, with two examples of each
4. Give the full computation of closing capital

5. Session 5 — The Year-End Adjustments ★★★★★

The highest-yield section in the chapter, and the one that generates numerical questions.

5.1 Why adjustments exist at all

The trial balance records what was **paid and received**. The matching concept (F6.2 §3.4) requires what was **incurred and earned**. Adjustments close the gap.

Every adjustment obeys one rule, and holding it converts this section from memory into mechanics:

> MUST MASTER · THE TWO-EFFECT RULE
>
> **Every adjustment has exactly two effects** — because every adjustment is a journal entry, and F6.1 §4 established that entries have two sides.
>
> Typically one effect lands in the Trading or P&L Account and the other in the Balance Sheet. If you can only find one effect, you have not finished the adjustment.
>
> This is also the fastest way to check a numerical answer: an adjustment that changes profit by ₹X must change the balance sheet by ₹X somewhere, or the balance sheet will not balance.

5.2 The adjustments table

This is the working core of the chapter. Learn the two effects for each.

Adjustment	Effect 1 — Trading / P&L	Effect 2 — Balance Sheet
Closing stock	**Credit** of Trading Account	**Current asset**
Outstanding (accrued) expense	**Add** to that expense	**Current liability**
Prepaid (unexpired) expense	**Deduct** from that expense	**Current asset**
Accrued income — earned, not received	**Add** to that income	**Current asset**
Income received in advance	**Deduct** from that income	**Current liability**
Depreciation	**Debit** to P&L	**Deduct** from the asset
Further bad debts	**Debit** to P&L	**Deduct** from debtors
Provision for doubtful debts	**Debit** to P&L	**Deduct** from debtors
Interest on capital	**Debit** to P&L	**Add** to capital
Interest on drawings	**Credit** to P&L	**Deduct** from capital
Goods taken by proprietor	**Deduct** from purchases	**Add** to drawings
Goods given as free samples	**Deduct** from purchases	Advertisement expense in P&L
Abnormal loss of stock	**Deduct** from purchases or credit Trading	Insurance claim as asset; balance to P&L
Manager's commission	**Debit** to P&L	**Current liability**

Two effects, every time, without exception

5.3 The three computations that get asked numerically

Provision for doubtful debts. Order matters. First deduct further bad debts from debtors, *then* apply the percentage:

> Debtors ₹1,00,000; further bad debts ₹5,000; provision at 5%. Provision = 5% of (1,00,000 - 5,000) = **₹4,750** — not 5% of 1,00,000.

The amount **charged to the P&L** is a second step: new provision + bad debts written off - existing provision.

Manager's commission. The wording decides the formula, and this is a favourite:

Wording	Formula
x% of net profit **before** charging such commission	Profit × x/100
x% of net profit **after** charging such commission	Profit × **x / (100 + x)**

> Profit before commission ₹4,20,000; commission 5% **after** charging it. Commission = 4,20,000 × 5/105 = **₹20,000**.

Check it: profit after commission is ₹4,00,000, and 5% of ₹4,00,000 is ₹20,000. That verification step takes five seconds and catches the wrong formula.

Closing capital.

> Closing capital = Opening capital **+ net profit + interest on capital - drawings - interest on drawings**

THINK LIKE UPSC · HOW A NUMERICAL ADJUSTMENT QUESTION IS BUILT

The standard construction gives you a stated profit and two or three omissions, deliberately pulling in **opposite directions** — exactly as in F6.2 Q37. For example: outstanding wages not recorded (reduces profit) and closing stock overvalued (also reduces profit, once corrected), against prepaid insurance not recorded (increases profit).

So do not compute a single net adjustment in your head. Write each item, mark it **+** or **-** against profit, then sum. The distractors are always "all added" and "all subtracted".

One direction worth memorising because it is counter-intuitive: **overvalued closing stock overstates profit**, so correcting it *reduces* profit. Closing stock sits on the credit of the Trading Account, so inflating it inflates gross profit.

CHECK YOURSELF · SESSION 5

1. State the two-effect rule and why it follows from double entry
2. Give both effects for: outstanding expense, prepaid expense, accrued income, income received in advance
3. Debtors ₹80,000, further bad debts ₹4,000, provision at 5%. What is the provision?
4. Profit before commission ₹6,30,000, manager gets 5% after charging commission. How much?
5. If closing stock has been overvalued, is profit overstated or understated?

6. Session 6 — Provisions, Reserves and Contingent Liabilities ★★★★★

Blueprint §7.1 names provisions in the high-yield list. This section is also where two of the examination's favourite trap pairs live.

6.1 Provision versus reserve

	Provision	Reserve
What it is for	A **known liability** whose amount cannot be determined precisely, or a known diminution in an asset's value	To **strengthen financial position** or meet an unknown contingency
Nature	A **charge against** profit	An **appropriation of** profit
Created when there is a loss?	**Yes — must still be created**	**No** — only out of profits
Available for dividend	**No**	Yes, if a revenue reserve
Shown as	Deduction from the asset, or a liability	Liabilities side, under Reserves and Surplus
Examples	Provision for doubtful debts, **depreciation**, provision for taxation	General reserve, dividend equalisation reserve

Charge versus appropriation is the distinction everything else follows from

MUST MASTER · THE ONE SENTENCE THAT ANSWERS MOST OF THESE QUESTIONS

A provision is a charge; a reserve is an appropriation.

A charge is a cost of arriving at profit, so it is made **whether or not there is a profit**. An appropriation is a division of profit already arrived at, so it can only be made **if there is a profit**.

Every row of the table above follows from that. The most examinable consequence: an option saying "a provision can be created only if there is a profit" is **wrong** — that is true of reserves, not provisions.

Note also that **depreciation is a provision**, not a reserve. It is a charge against profit for a known diminution in value, and it must be charged even in a loss year.

6.2 Types of reserve

Type	Source	Distributable as dividend?
Revenue reserve — general	Revenue profits, no specific purpose	Yes
Revenue reserve — specific	Revenue profits, earmarked (debenture redemption, dividend equalisation, workmen's compensation)	Only for that purpose
Capital reserve	**Capital profits** — profit on sale of a fixed asset, profit on revaluation, profit prior to incorporation, profit on forfeiture of shares	**Not freely** available
Secret reserve	Undisclosed — created by understating assets or overstating liabilities	Not disclosed at all
Reserve fund	A reserve **invested outside** the business	Depends on type

COMMON UPSC TRAP · CAPITAL RESERVE VERSUS RESERVE CAPITAL

Two phrases made of the same two words, meaning entirely different things. This is a classic and it is exactly the kind of near-identical pair Blueprint §8 warns about.

Capital reserve	Reserve capital
A **reserve** created out of **capital profits**	That part of a company's **uncalled share capital** which it resolves, by **special resolution**, not to call up except **in the event of winding up**
Appears under Reserves and Surplus	Appears nowhere on the balance sheet — it is uncalled
Created by any entity with capital profits	Only a company, and only by special resolution
Also called: nothing in particular	Also called **reserve liability**

Memory hook: **capital reserve is money you have; reserve capital is money you have deliberately not asked for yet.**

Note on **secret reserves**: they conflict with full disclosure and, as F6.2 §4.4 warned, represent prudence pushed past its limit. They were historically permitted to banks and insurers; they are not a model of good practice.

6.3 Contingent liabilities

A **contingent liability** is a **possible** obligation that will become an actual liability only if an uncertain future event occurs.

MUST MASTER · CONTINGENT LIABILITY — THE TREATMENT AND THE EXAMPLES

It is not recorded in the books. It is disclosed by way of a note to the accounts.

That single sentence is the answer to most questions on it. It is not a liability yet, so recording it would overstate liabilities; but concealing it would mislead, so full disclosure requires a note.

Standard examples:

- **Claims against the entity not acknowledged as debts** — a pending lawsuit
- **Bills discounted** but not yet matured
- **Guarantees** given on behalf of others
- **Arrears of dividend on cumulative preference shares**
- Liability in respect of partly paid investments

The governing standard is **AS 29, Provisions, Contingent Liabilities and Contingent Assets**. And note the asymmetry that prudence produces: a contingent **liability** is disclosed, while a contingent **asset** is **not even disclosed** in the accounts until realisation is virtually certain. Anticipate no profit, provide for all losses — F6.2 §4.4, applied.

CHECK YOURSELF · SESSION 6

1. Charge or appropriation — which is a provision, which a reserve? What follows from it?
2. Must a provision be created in a loss year? Must a reserve?
3. Is depreciation a provision or a reserve? Why?
4. Distinguish capital reserve from reserve capital on four points
5. How is a contingent liability treated, and what are four examples?
6. Why is a contingent asset treated differently from a contingent liability?

7. Graded Practice — 30 Questions ★★★★★

7.1 Level 1 — Recognition

Q1. The Trading Account is prepared to ascertain (a) net profit (b) financial position (c) gross profit (d) the cash balance

Q2. Which one of the following is a direct expense? (a) Carriage inwards (b) Carriage outwards (c) Advertisement (d) Audit fees

Q3. Closing stock appears (a) in the Profit and Loss Account only (b) on the debit side of the Trading Account (c) nowhere until it is sold (d) on the credit of the Trading Account and as a current asset

Q4. The Balance Sheet is (a) an account (b) a statement (c) a subsidiary book (d) a ledger

Q5. Which one of the following is a fictitious asset? (a) Preliminary expenses not yet written off (b) Goodwill (c) Patents (d) Closing stock

Q6. Gross profit is (a) sales less purchases (b) sales less all expenses (c) net sales less cost of goods sold (d) net profit plus tax

Q7. Carriage outwards is shown in the (a) Trading Account (b) Profit and Loss Account (c) Balance Sheet as an asset (d) Balance Sheet as a liability

Q8. Arranging assets and liabilities in a particular order in the balance sheet is called (a) grouping (b) posting (c) casting (d) marshalling

Q9. A provision is (a) a charge against profit (b) an appropriation of profit (c) a capital receipt (d) a form of reserve

Q10. General reserve is (a) a provision (b) a capital reserve (c) a revenue reserve (d) a contingent liability

7.2 Level 2 — Understanding

Q11. Salary earned by employees but unpaid at the year end is (a) ignored until paid (b) deducted from the salary expense and shown as an asset (c) added to the salary expense and shown as an asset (d) added to the salary expense and shown as a current liability

Q12. Insurance premium paid in advance at the year end is (a) added to the insurance expense and shown as a liability (b) deducted from the insurance expense and shown as a current asset (c) added to the insurance expense and shown as an asset (d) ignored

Q13. Rent received in advance at the year end is (a) added to rent received and shown as an asset (b) deducted from rent received and shown as an asset (c) deducted from rent received and shown as a current liability (d) ignored

Q14. Interest on drawings is (a) credited to the Profit and Loss Account and deducted from capital (b) debited to the Profit and Loss Account and added to capital (c) ignored in final accounts (d) added to drawings only, with no effect on profit

Q15. Goods taken by the proprietor for personal use are (a) added to sales (b) deducted from purchases and added to drawings (c) treated as an indirect expense (d) ignored

Q16. Every year-end adjustment has (a) one effect (b) three effects (c) no effect on profit (d) two effects

Q17. Which one of the following is **not** freely available for distribution as dividend? (a) Capital reserve arising from profit on the sale of a fixed asset (b) General reserve (c) Dividend equalisation reserve (d) Credit balance of the Profit and Loss Account

Q18. Reserve capital means (a) a reserve created out of capital profits (b) the general reserve of a company (c) that part of uncalled share capital which can be called only in the event of winding up (d) the securities premium account

Q19. A contingent liability is (a) recorded as a liability in the balance sheet (b) disclosed by way of a note and not recorded (c) shown as an asset (d) ignored entirely

Q20. Provision for doubtful debts is (a) shown only as a liability (b) added to debtors (c) shown in the Trading Account (d) debited to the Profit and Loss Account and deducted from debtors

7.3 Level 3 — Recruitment Test standard

Q21. Which one of the following statements is **not** correct? (a) A provision is a charge against profit (b) A reserve is an appropriation of profit (c) A provision can be created only when there is a profit (d) A provision is created for a known liability whose amount cannot be determined precisely

Q22. Consider the following statements about a contingent liability:

1. It is not recorded in the books of account.
2. It is disclosed by way of a note to the accounts.
3. Bills discounted but not yet matured is an example of it.

Which of the above statements are correct? (a) 1, 2 and 3 (b) 1 and 2 only (c) 2 and 3 only (d) 1 only

Q23. Match List-I with List-II and select the correct answer using the code given below:

List-I	List-II
A. Carriage inwards	1. Profit and Loss Account
B. Carriage outwards	2. Trading Account
C. Closing stock	3. Credit of Trading Account and a current asset
D. Preliminary expenses not written off	4. Fictitious asset

(a) A-1 B-2 C-3 D-4 (b) A-2 B-1 C-4 D-3 (c) A-1 B-2 C-4 D-3 (d) A-2 B-1 C-3 D-4

Q24. Opening stock ₹40,000; purchases ₹3,00,000; purchase returns ₹10,000; wages ₹30,000; carriage inwards ₹5,000; closing stock ₹50,000; net sales ₹4,00,000. The gross profit is (a) ₹95,000 (b) ₹85,000 (c) ₹1,15,000 (d) ₹75,000

Q25. Net profit before charging the manager's commission is ₹4,20,000. The manager is entitled to a commission of 5% of the net profit **after** charging such commission. The commission is (a) ₹20,000 (b) ₹21,000 (c) ₹22,000 (d) ₹19,000

Q26. Sundry debtors are ₹1,00,000. Further bad debts of ₹5,000 are to be written off and a provision for doubtful debts is to be created at 5%. The provision will be (a) ₹5,000 (b) ₹5,250 (c) ₹4,750 (d) ₹4,500

Q27. Consider the following statements about the Balance Sheet:

1. It is a statement and not an account.
2. Marshalling means arranging assets and liabilities in a particular order.
3. Goodwill is a fictitious asset.

Which of the above statements are correct? (a) 1, 2 and 3 (b) 1 and 2 only (c) 2 and 3 only (d) 1 and 3 only

Q28. Which one of the following statements is **not** correct? (a) Wages appear in the Trading Account (b) Salaries appear in the Profit and Loss Account (c) Closing stock is credited to the Trading Account (d) Depreciation is a direct expense shown in the Trading Account

Q29. Capital reserve is created out of (a) capital profits such as profit on the sale of a fixed asset (b) revenue profits of the year (c) uncalled share capital (d) provisions that are no longer required

Q30. A firm's net profit is shown as ₹5,00,000. It is then found that outstanding wages of ₹30,000 had not been recorded, and that closing stock had been overvalued by ₹20,000. The corrected net profit is (a) ₹5,50,000 (b) ₹4,90,000 (c) ₹4,50,000 (d) ₹5,10,000

8. Answers and Explanations

8.1 Level 1

Q	Ans	Explanation
1	c	**Gross profit.** Net profit comes from the P&L; financial position from the balance sheet
2	a	**Carriage inwards** brings goods in, so it is a cost of making them saleable. Carriage *outwards* is selling and distribution
3	d	Both effects — the **two-effect rule**. Credit of Trading Account, and a current asset in the balance sheet
4	b	A **statement**, prepared *as on* a date. It has sides, not debits and credits
5	a	**Preliminary expenses** have no realisable value. Goodwill and patents are **intangible but real**; closing stock is a current asset
6	c	**Net sales less cost of goods sold.** (a) forgets opening and closing stock and direct expenses
7	b	**P&L** — a selling and distribution expense. Contrast carriage inwards
8	d	**Marshalling.** *Grouping* is putting similar items under one head — a different word, often the distractor
9	a	A **charge against** profit, which is why it must be created even in a loss year
10	c	A **revenue reserve**, created from revenue profits with no specific purpose

8.2 Level 2

Q	Ans	Explanation
11	d	**Add** to the expense (matching) and show as a **current liability** — you owe it. Ignoring it is the cash basis, which F6.2 §3.3 rules out for companies
12	b	**Deduct** from the expense — it does not belong to this year — and carry it as a **current asset**
13	c	**Deduct** from the income and show as a **current liability**: you owe the service, not the money
14	a	Interest on drawings is a **gain to the business** from the owner, so it is **credited** to the P&L, and it reduces capital. Interest on *capital* is the mirror image
15	b	**Deduct from purchases and add to drawings.** It is not a sale — no outsider bought anything — and it is not an expense of the business
16	d	**Two.** Every adjustment is a journal entry, and entries have two sides. Finding only one means the adjustment is incomplete
17	a	A **capital reserve** arises from capital profits and is not freely distributable. The other three are revenue in origin
18	c	**Uncalled capital callable only on winding up**, by special resolution. (a) defines *capital reserve* — the trap pair
19	b	**Disclosed by note, not recorded.** It is not yet a liability, but concealing it would mislead
20	d	Both effects again: **debited to the P&L** and **deducted from debtors** on the assets side

8.3 Level 3

Q	Ans	Explanation
21	c	A provision is a **charge**, so it must be created **whether or not there is a profit**. Only a *reserve* requires profits. The other three statements are correct definitions
22	a	**All three.** Not recorded, disclosed by note, and bills discounted but not matured is a standard example — along with pending claims, guarantees given and arrears of cumulative preference dividend
23	d	**A-2** carriage inwards is direct, so Trading; **B-1** carriage outwards is selling, so P&L; **C-3** closing stock has both effects; **D-4** preliminary expenses are fictitious
24	b	COGS = 40,000 + (3,00,000 - 10,000) + 30,000 + 5,000 - 50,000 = ₹3,15,000. GP = 4,00,000 - 3,15,000 = **₹85,000**. Note that wages and carriage inwards are **direct** and belong here
25	a	Commission **after** charging it: 4,20,000 × 5/105 = **₹20,000**. Verify: profit after commission ₹4,00,000, and 5% of that is ₹20,000. Option (b) is 5/100, the "before" formula
26	c	Deduct the further bad debts **first**: 5% of (1,00,000 - 5,000) = **₹4,750**. Option (a) applies the rate to the un-reduced figure — the commonest error
27	b	**1 and 2 only.** Statement 3 is false: goodwill is **intangible but real**, not fictitious. This is the classification trap from §4.2
28	d	**Depreciation is an indirect expense** and belongs in the **P&L**, not the Trading Account. The other three are correct
29	a	**Capital profits** — profit on sale of a fixed asset, revaluation, profit prior to incorporation, forfeiture of shares. (c) describes **reserve capital**
30	c	Both corrections **reduce** profit. Outstanding wages are an unrecorded expense: -30,000. Overvalued closing stock inflated gross profit, so correcting it: -20,000. 5,00,000 - 30,000 - 20,000 = **₹4,50,000**

THINK LIKE UPSC · THE FOUR SHAPES IN THIS CHAPTER

1. **The direction pair.** Q2, Q7, Q28 all turn on inwards versus outwards, or direct versus indirect. Ask "did this cost bring goods **in**, or push them **out**?"
2. **The provision absolute.** Q21's option (c) is the single most reliable wrong answer in this chapter: a provision needing a profit. Charge versus appropriation answers it
3. **The near-identical pair.** Q18 and Q29 are the two halves of capital reserve versus reserve capital. Whichever one the stem gives you, the other is sitting in the options
4. **The ordered computation.** Q26 punishes applying a percentage before a deduction. Wherever a question gives you a figure *and* something to remove from it, remove first and then apply the rate

9. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F6.3

SORTING RULE nominal » Trading/P&L · real and personal » Balance Sheet

GROSS PROFIT = Net sales - COGS · **COGS** = Opening stock + Net purchases + Direct expenses - Closing stock

DIRECT EXPENSES wages · carriage **inwards** · fuel and power · **factory** rent and lighting · octroi and import duty · royalty on **production**

THE FOUR PAIRS carriage inwards/outwards · wages/salaries · factory/office rent · royalty on production/sales. Combined head: **the first word decides**

NET PROFIT = Gross profit + other incomes - indirect expenses · four families: office · selling and distribution · financial · provisions and write-offs

DISCOUNT allowed = expense, P&L debit · received = income, P&L credit · **trade discount never appears**

BALANCE SHEET a **statement**, prepared **as on** a date · **grouping** = similar items together · **marshalling** = order of **liquidity** or **permanence**

INTANGIBLE is not FICTITIOUS goodwill and patents intangible but **REAL** · preliminary expenses, discount on debentures, P&L debit balance = **FICTITIOUS**, no realisable value

CLOSING CAPITAL = Opening + net profit + interest on capital - drawings - interest on drawings

TWO-EFFECT RULE every adjustment has exactly **two** effects, normally one in P&L and one in the Balance Sheet

ADJUSTMENTS closing stock » Trading credit + asset · outstanding expense » add to expense + liability · prepaid » deduct + asset · accrued income » add + asset · income in advance » deduct + liability · depreciation » P&L debit + deduct from asset · interest on capital » P&L debit + add to capital · interest on drawings » P&L **credit** + deduct from capital · goods taken by proprietor » deduct from purchases + drawings

PROVISION FOR DOUBTFUL DEBTS deduct further bad debts **first**, then apply the rate

MANAGER'S COMMISSION before = P × x/100 · **after** = P × **x/(100+x)**

OVERVALUED CLOSING STOCK OVERSTATES PROFIT — closing stock sits on the Trading **credit**

PROVISION vs RESERVE provision = **charge**, created **even in a loss**, not available for dividend · reserve = **appropriation**, only out of profits, revenue reserves distributable ·

depreciation is a provision

CAPITAL RESERVE vs RESERVE CAPITAL capital reserve = from **capital profits**, in Reserves and Surplus · reserve capital = **uncalled** capital callable **only on winding up**, by **special resolution**, also called reserve liability

CONTINGENT LIABILITY not recorded, disclosed by note · pending claims · **bills discounted** · guarantees given · arrears of cumulative preference dividend · **AS 29** · contingent **asset** not even disclosed until virtually certain

10. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F6.3

COGS = OPENING + NET PURCHASES + DIRECT - CLOSING · **GP = NET SALES - COGS**

IN = TRADING, OUT = P&L — carriage inwards direct, outwards indirect. Wages Trading, Salaries P&L

FIRST WORD DECIDES "Wages and Salaries" » Trading · "Salaries and Wages" » P&L

BALANCE SHEET IS A STATEMENT · grouping = together · **marshalling = order**

GOODWILL IS REAL, PRELIMINARY EXPENSES ARE FICTITIOUS

TWO EFFECTS, ALWAYS

BAD DEBTS FIRST, THEN THE PERCENTAGE

COMMISSION AFTER = x/(100+x) · before = x/100 · always verify by recomputing on the reduced profit

OVERVALUED CLOSING STOCK » PROFIT OVERSTATED

PROVISION = CHARGE (even in a loss) · **RESERVE = APPROPRIATION (only from profit) DEPRECIATION IS A PROVISION**

CAPITAL RESERVE = MONEY YOU HAVE · **RESERVE CAPITAL = MONEY YOU HAVE NOT ASKED FOR YET**

CONTINGENT LIABILITY: NOTE, NOT ENTRY — AS 29 · contingent asset not even that

ONE LINE FOR THE INTERVIEW Year-end adjustments exist because the trial balance records cash movements while the matching concept requires the period's true costs and revenues — and every adjustment has exactly two effects, which is why a correctly adjusted balance sheet still balances.

ACTION · NEXT IN THE FOUNDATION TRACK

Chapter F6.4 — Depreciation, Goodwill and Inventory Valuation. All three are applications of ideas you now hold: depreciation is the going concern concept plus the two-effect rule, inventory valuation is prudence (**lower of cost and net realisable value**), and goodwill is the intangible-but-real asset from §4.2 given a price.

Before you move on, state without looking: the COGS formula; the four Trading-versus-P&L pairs; both effects of interest on drawings; the manager's commission formula for "after charging"; and the four differences between capital reserve and reserve capital.